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The Hottest Chip Stock Heats Up Again

Nvidia's fast-growing data center business is offsetting risk from potential gaming downturn

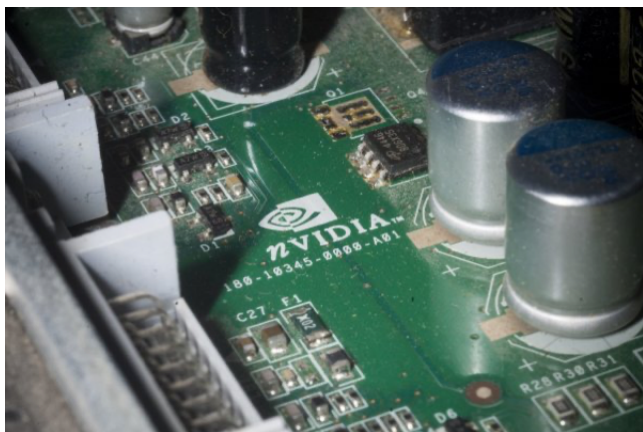
By Dan Gallagher

May 10, 2017 at 12:20 pm ET

Nvidia Corp. NVDA **-4.03%** ▼ investors may have had their heads in the cloud, but at least that cloud is starting to pay off.

Having already tripled in market value over the last 12 months, Nvidia looked like a risky bet heading into its fiscal first-quarter earnings report late Tuesday. The company had enjoyed an unprecedented surge in its gaming chip business last year, helped by the launch of the surprisingly popular Nintendo Switch that uses a custom processor designed by Nvidia.

Promising businesses in autos and data centers, while still small relative to Nvidia's gaming chips, generated further hope for the shares.



Pictured is an Nvidia graphics cards. RICHARD B.

One of those promising business—data-center chips—saved the day, and more. Revenue for Nvidia's gaming business fell 24% from the previous quarter, though was still up 49% year over year. But the data-center business surprised, delivering revenue of \$409 million, which was 29% higher than analysts expected. Trailing 12-

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month revenue for this segment has now topped \$1 billion and has nearly tripled from the same period last year.

That sent Nvidia's stock up nearly 15% Wednesday morning, putting it close to its all-time high achieved back in February. It's valuation is close to 40 times forward earnings—one of the most expensive in the semiconductor segment.

But while still a lofty valuation for a chipmaker, Nvidia's strength in the data center makes the stock a bit less risky now. Data centers are still a key area of investment for cloud service operators; Amazon.com Inc., Microsoft Corp., and Alphabet Inc.'s Google spent nearly \$8 billion in combined capital expenditures during the March quarter. Those companies are in the market for anything that improves efficiency and performance, as well as alternatives to Intel Corp., which still controls more than 95% of the market for key server processors.

Nvidia's ability to deliver steady growth here, and its promise in autos, will be key to living up to its pricey valuation. The gaming business will likely still account for the majority of revenue for the next few years. But fortunately for investors, Nvidia is showing it can operate on a whole new level.

Write to Dan Gallagher at dan.gallagher@wsj.com

